LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

THREE MONTH PERIOD ENDED 30 JUNE 2018

Lanka Orix Leasing Company PLC
Interim Financial Statements
Three month period ended 30 June 2018

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-18	**31-Mar-18**	*As at*	**30-Jun-18**	**30-Jun-17**	**30-Jun-18**	**30-Jun-17**
Rs. '000	**Rs. '000**		**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Un-audited	**Un-audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
51,133,159	281,209	Cash and cash equivalents	74,518,314	58,604,185	754,969	776,418
3,168,463	341,399	Trading assets - fair value through profit or loss	1,529,099	1,302,779	363,636	503,553
80,151,780	9,936,231	Investment securities	63,003,130	78,010,253	342,581	412,180
56,724,874	2,888	Finance lease receivables, hire purchases and operating leases	58,382,945	52,369,220	3,191	3,006
493,251,097	2,342,041	Advances and other loans	501,158,519	384,624,261	8,225,830	698,705
1,112,966	-	Insurance premium receivables	1,225,475	1,116,395	-	479,925
4,579,202	251,875	Inventories	4,638,745	4,195,547	259,045	144,853
1,283,342	172,790	Current tax assets	1,078,918	352,556	187,424	-
26,059,220	18,307,041	Trade and other current assets	19,593,604	21,558,335	20,142,320	19,050,492
2,305,861	-	Prepaid lease rentals on leasehold properties	2,338,293	742,047	-	-
14,459,331	882,500	Investment properties	14,490,682	9,757,991	882,500	376,600
		Biological Assets;				
3,305,919	-	Consumable Biological Assets	3,319,602	2,980,440	-	-
1,212,195	-	Bearer Biological Assets	1,231,008	1,161,664	-	-
		Investments in group of companies;				
-	68,301,091	Subsidiary companies	-	-	68,301,091	62,992,680
5,238	-	Jointly controlled entities	5,238	-	-	-
17,446,158	4,314,001	Associates	17,728,119	16,341,815	4,314,001	4,314,001
2,105,779	-	Deferred tax assets	2,222,268	1,047,874	-	-
13,954,790	220,378	Intangible assets	13,928,240	13,508,188	199,013	309,280
50,103,094	5,369,611	Property, plant and equipment	51,876,610	42,606,858	5,411,238	6,681,717
822,362,468	**110,723,055**	**Total assets**	**832,268,808**	**690,280,408**	**109,386,839**	**96,743,410**
		Liabilities and equity				
		Liabilities				
9,293,789	2,459,828	Bank overdrafts	11,839,335	9,593,718	2,835,426	3,204,911
754,089	-	Derivative liabilities	724,194	219,589	-	186
307,528,599	-	Deposits liabilities	324,082,480	235,981,397	-	-
332,154,647	51,781,300	Interest bearing borrowings	323,287,459	299,747,613	52,737,807	43,580,158
2,877,926	-	Insurance provision - life	2,963,314	2,214,975	-	-
3,438,534	-	Insurance provision - general	3,532,172	2,951,607	-	-
4,807,628	718,156	Current tax payables	6,109,088	3,856,079	667,619	154,895
37,197,105	3,513,805	Trade and other payables	30,326,819	22,305,639	1,106,819	2,099,800
4,399,395	180,898	Deferred tax liabilities	4,408,429	3,858,935	180,898	219,926
184,404	-	Deferred income	182,535	224,272	-	-
1,434,161	291,462	Retirement benefit obligations	1,478,418	2,191,323	302,001	245,783
704,070,277	**58,945,449**	**Total liabilities**	**708,934,242**	**583,145,147**	**57,830,570**	**49,505,659**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
12,285,812	3,072,459	Reserves	12,666,232	9,033,155	3,019,066	3,440,726
58,169,945	48,229,947	Retained earnings	60,241,918	53,059,903	48,062,002	43,321,825
70,930,957	**51,777,606**	**Equity attributable to shareholders of the Company**	**73,383,349**	**62,568,258**	**51,556,268**	**47,237,751**
47,361,234	-	Non-controlling interests	49,951,217	44,567,003	-	-
118,292,191	**51,777,606**	**Total equity**	**123,334,566**	**107,135,261**	**51,556,268**	**47,237,751**
822,362,468	**110,723,055**	**Total liabilities & equity**	**832,268,808**	**690,280,408**	**109,386,839**	**96,743,410**
149.27	**108.96**	**Net assets per share (Rs.)**	**154.43**	**131.67**	**108.49**	**99.41**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mr. I C Nanayakkara
Deputy Chairman
15th August 2018 Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Income Statement

For the three month period ended 30 June	Group 2018 Rs. '000	Group 2017 Rs. '000	Group Variance %	Company 2018 Rs. '000	Company 2017 Rs. '000	Company Variance %
Gross income	**38,090,021**	**33,770,853**	**13**	**2,784,747**	**2,907,644**	**(4)**
Interest income	28,339,622	23,388,081	21	851,029	910,939	(7)
Interest expense	(15,870,652)	(13,662,011)	(16)	(1,773,339)	(1,506,760)	(18)
Net interest income	**12,468,970**	**9,726,070**	**28**	**(922,310)**	**(595,821)**	**(55)**
Revenue	4,978,017	4,842,678	3	-	-	-
Less: cost of sales	(3,402,283)	(2,954,345)	(15)	-	-	-
Gross profit	**1,575,735**	**1,888,333**	**(17)**	**-**	**-**	**-**
Income	3,756,581	2,859,707	31	955,814	1,008,775	(5)
Other income/(expenses)	1,015,800	2,680,387	(62)	977,904	987,930	(1)
Profit before operating expenses	**18,817,087**	**17,154,497**	**10**	**1,011,408**	**1,400,884**	**(28)**
Operating expenses						
VAT on financial services	(662,420)	(559,964)	(18)	(34,000)	(16,897)	(101)
Other direct expenses excluding finance costs	(1,360,310)	(1,299,623)	(5)	(584)	(7,641)	92
Personnel costs	(5,176,559)	(4,388,865)	(18)	(321,397)	(380,503)	16
Net impairment (loss) / reversal on financial assets	(1,725,546)	(1,422,412)	(21)	6,345	1,556	(308)
Depreciation and amortization	(596,616)	(528,457)	(13)	(126,557)	(103,616)	(22)
Other operating expenses	(3,495,650)	(3,043,710)	(15)	(703,163)	(639,699)	(10)
Results from operating activities	**5,799,986**	**5,911,466**	**(2)**	**(167,948)**	**254,084**	**(166)**
Share of profits of equity accounted investees	292,035	577,292	(49)	-	-	-
Profit before income tax expense	**6,092,021**	**6,488,758**	**(6)**	**(167,948)**	**254,084**	**(166)**
Income tax expense	(1,767,391)	(1,410,104)	(25)	-	(71,135)	100
Profit for the period	**4,324,630**	**5,078,654**	**(15)**	**(167,948)**	**182,949**	**(192)**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

For the three month period ended 30 June	Group 2018 Rs. '000	Group 2017 Rs. '000	Group Variance %	Company 2018 Rs. '000	Company 2017 Rs. '000	Company Variance %
Profit for the period	**4,324,630**	**5,078,654**	**(15)**	**(167,948)**	**182,949**	**(192)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(101,237)	310,219	(133)	(53,393)	63,100	(185)
Net movement of cash flow hedges	(22,216)	(163,280)	(86)	-	-	-
Foreign currency translation differences for foreign operations	374,462	4,617	8,010	-	-	-
Other comprehensive income/ (expense) for the period, net of tax	**251,008**	**151,556**	**66**	**(53,393)**	**63,100**	**(185)**
Total comprehensive income for the period	**4,575,638**	**5,230,210**	**(13)**	**(221,340)**	**246,049**	**(190)**
Profit attributable to;						
Equity holders of the Company	3,054,157	2,855,643	7	(167,948)	182,949	(192)
Non-controlling interests	1,270,473	2,223,011	(43)	-	-	-
Profit for the period	**4,324,630**	**5,078,654**	**(15)**	**(167,948)**	**182,949**	**(192)**
Total comprehensive income attributable to;						
Equity holders of the Company	2,989,172	2,946,847	1	(221,340)	246,049	(190)
Non-controlling interests	1,586,467	2,283,363	(31)	-	-	-
Total comprehensive income for the period	**4,575,638**	**5,230,210**	**(13)**	**(221,340)**	**246,049**	**(190)**
Basic earnings per share	**6.43**	**6.01**	**7**	**(0.35)**	**0.38**	**(192)**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June

Company	Equity attributable to the shareholders of the Company					
	Stated Capital	Revaluation Reserve	Fair Value Reserve on AFS	Future Taxation Reserve	Retained Earnings	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01 April 2017	**475,200**	**3,139,620**	**33,006**	**205,000**	**43,138,876**	**46,991,702**
Total comprehensive income for the period						
Profit for the period	-	-	-	-	182,949	**182,949**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	63,100	-	-	**63,100**
Total comprehensive income for the period	-	-	63,100	-	182,949	**246,049**
Balance as at 30 June 2017	**475,200**	**3,139,620**	**96,106**	**205,000**	**43,321,825**	**47,237,751**
Balance as at 01 April 2018	**475,200**	**2,857,751**	**9,708**	**205,000**	**48,229,949**	**51,777,608**
Total comprehensive income for the period						
Profit for the period	-	-	-	-	(167,948)	**(167,948)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	(53,393)	-	-	**(53,393)**
Total comprehensive income for the period	**-**	**-**	**(53,393)**	**-**	**(167,948)**	**(221,340)**
Balance as at 30 June 2018	**475,200**	**2,857,751**	**(43,685)**	**205,000**	**48,062,002**	**51,556,268**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June

Group	Equity Attributable to the Owners of the Company										
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,358**	**(895,216)**	**744,533**	**205,000**	**2,158,162**	**49,442,053**	**58,849,699**	**43,766,141**	**102,615,840**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	2,855,643	**2,855,643**	2,223,011	**5,078,654**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	298,331	-	-	-	-	**298,331**	11,888	**310,219**
Net movement of cash flow hedges	-	-	(145,183)	-	-	-	-	-	**(145,183)**	(18,097)	**(163,280)**
Foreign currency translation differences for foreign operations	-	-	-	-	(61,944)	-	-	-	**(61,944)**	66,561	**4,617**
Total comprehensive income for the period	**-**	**-**	**(145,183)**	**298,331**	**(61,944)**	**-**	**-**	**2,855,643**	**2,946,847**	**2,283,363**	**5,230,210**
Reserve transfers	-	-	-	-	-	-	9,619	(9,619)	**-**	-	**-**
Depreciation transfer on revaluation	-	(114)	-	-	-	-	-	114	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-		**-**	(82,693)	**(82,693)**
Non-controlling interests recognized on acquisition of subsidiaries	-	-	-	-	-	-	-	-	**-**	1,659,336	**1,659,336**
NCI contribution for subsidiary share issues	-	-	-	-	-	-	-	-	**-**	148	**148**
Changes in ownership interests that do not result in a change in control								771,712	**771,712**	(3,059,292)	**(2,287,580)**
Balance as at 30 June 2017	**475,200**	**6,601,495**	**(26,825)**	**(596,885)**	**682,589**	**205,000**	**2,167,781**	**53,059,903**	**62,568,258**	**44,567,003**	**107,135,261**
Balance as at 01 April 2018	**475,200**	**7,940,302**	**(41,026)**	**307,448**	**1,211,077**	**205,000**	**2,663,011**	**58,169,945**	**70,930,957**	**47,361,234**	**118,292,191**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	3,054,157	**3,054,157**	1,270,473	**4,324,630**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(56,608)	-	-	-	-	**(56,608)**	(44,630)	**(101,237)**
Net movement of cash flow hedges	-	-	(19,715)	-	-	-	-	-	**(19,715)**	(2,501)	**(22,216)**
Foreign currency translation differences for foreign operations	-	-	-	-	11,338	-	-	-	**11,338**	363,124	**374,462**
Total comprehensive income for the period	**-**	**-**	**(19,715)**	**(56,608)**	**11,338**	**-**	**-**	**3,054,157**	**2,989,172**	**1,586,467**	**4,575,638**
Reserve transfers	-	-	-	-	-	-	445,518	(445,518)	**-**	-	**-**
Depreciation transfer on revaluation	-	(114)	-	-	-	-	-	114	**-**	-	**-**
NCI contribution for subsidiary share issues	-	-	-	-	-	-	-	-	**-**	964,280	**964,280**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	(536,779)	**(536,779)**	39,236	**(497,543)**
									-		
Balance as at 30 June 2018	**475,200**	**7,940,188**	**(60,741)**	**250,840**	**1,222,415**	**205,000**	**3,108,529**	**60,241,918**	**73,383,349**	**49,951,217**	**123,334,566**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the three month period ended 30 June	Group		Company	
	2018	**2017**	**2018**	**2017**
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	6,092,021	6,488,758	(167,948)	254,084
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(54,903)	(44,902)	(8,599)	(44,569)
Depreciation and amortization	596,616	528,457	126,557	103,616
Insurance provision	179,027	388,175	12,300	-
Change in fair value of forward contracts	159,903	369,005	-	-
Provision for gratuity	84,207	77,482	-	11,400
Net impairment (loss) / reversal on financial assets	1,725,546	1,422,412	(6,345)	(1,556)
Provision for fall/(increase) in value of investments	(136,447)	(109,467)	(22,237)	(53,807)
Investment Income	(903,800)	(1,681,920)	(1)	(12,751)
Net finance costs	15,870,652	13,662,011	1,773,339	1,506,760
(Profit)/loss on sale of quoted and non-quoted shares	(8,736)	(916,324)	-	889
Share of profits of equity accounted investees	(292,035)	(577,292)	-	-
Transaction cost on acquisition of subsidiaries	-	3,625	-	-
Amortization of deferred income	(9,562)	-	-	-
Operating profit before working capital changes	**23,302,489**	**19,610,020**	**1,707,066**	**1,764,066**
Working capital changes				
Increase/(decrease) in trade and other payables	(6,525,720)	4,541,043	(2,405,355)	377,593
(Increase)/decrease in investment in leases, hire purchase and others	(1,531,038)	(698,851)	-	7,416
(Increase)/decrease in investment in advances and other loans	(9,760,001)	(18,341,226)	(5,887,076)	83,517
(Increase)/decrease in premium receivables	(112,509)	(35,637)	-	7,198,553
(Increase)/decrease in inventories	(59,543)	(125,020)	(7,170)	(115,896)
(Increase)/decrease in trade and other receivables	6,465,617	(6,541,953)	(1,835,276)	-
Increase/(decrease) in customer deposits	16,553,881	24,636,868	-	-
Cash generated from operations	**28,333,176**	**23,045,244**	**(8,427,811)**	**9,315,249**
Finance cost paid	(14,359,756)	(12,359,755)	(1,571,027)	(1,563,344)
Income tax and Economic Service Charge paid	(309,360)	(253,206)	-	(57,483)
Defined benefit plan costs paid	(99,246)	(65,444)	(1,761)	(164)
Net cash from/(used in) operating activities	**13,564,814**	**10,366,839**	**(10,000,599)**	**7,694,258**
CASH FLOW FROM INVESTING ACTIVITIES				
Net cash and cash equivalents on acquisition of a subsidiary	-	688,049	-	-
Acquisition of non-controlling interests	(334,422)	(2,286,764)	-	-
Acquisition of property, plant and equipment	(2,333,068)	(844,122)	(145,858)	(164,254)
Acquisition / (Disposal) of intangible assets	(23,447)	(132,064)	(2,443)	(132,900)
Net additions/ realization of trading assets	1,743,842	2,456,249	-	-
Net additions/ realizatio of investment securities	16,884,291	(21,070,876)	9,593,649	2,571
Proceeds from the sale of property, plant and equipment	54,903	86,158	10,081	83,763
Interest received	903,800	1,663,370	-	-
Dividend received	10,073	18,550	1	12,751
Net additions to biological assets	(33,385)	(17,791)	-	-
Net cash flow from investing activities	**16,872,587**	**(19,439,241)**	**9,455,430**	**(1,520,070)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	(1,758,425)	(11,740,901)	545,173	(6,915,368)
Principal repayment under finance lease liabilities	(95,260)	(186,866)	(3,364)	(14,588)
Proceeds from long-term interest bearing loans and borrowings	3,138,176	37,166,000	739,146	-
Repayments of long-term interest bearing loans and borrowings	(11,846,563)	(13,922,726)	(637,625)	(441,441)
Dividends paid to non-controlling interests	-	(82,693)	-	-
NCI contribution to subsidiary share issues	964,280	148	-	-
Net cash generated from financing activities	**(9,597,792)**	**11,232,962**	**643,330**	**(7,371,397)**
Net increase/(decrease) in cash and cash equivalents during the period	20,839,609	2,160,560	98,161	(1,197,209)
Cash and cash equivalents at the beginning of the year	41,839,370	46,849,907	(2,178,619)	(1,231,284)
Cash and cash equivalents at the end of the year	**62,678,979**	**49,010,467**	**(2,080,458)**	**(2,428,493)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	74,518,314	58,604,185	754,969	776,418
Unfavorable Bank Balances used for cash management purposes	(11,839,335)	(9,593,718)	(2,835,426)	(3,204,911)
	62,678,979	**49,010,467**	**(2,080,458)**	**(2,428,493)**

Figures in brackets indicate deductions.
The above figures are not audited

1 The Statement of Financial Position as at 30 June 2018, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the three month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, associates and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2017/18 are followed in the preparation of these Interim Financial Statements, except for the adoption of new standards effective as of 1 April 2018.

New standards, interpretations and amendments adopted by the Group

(a) SLFRS 15 Revenue from Contracts with Customers

SLFRS 15 supercedes LKAS 11 Construction Contracts, LKAS 18 Revenue and related Interpretations and it applies to all revenue arising from contracts with customers, unless those contracts are in the scope of other standards. The new standard establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled to in exchange for transferring goods or services to a customer.

The standard requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract.

The Group adopted SLFRS 15 using the full retrospective method of adoption. Based on the assessment performed, the Group concluded that SLFRS 15 does not have a material impact on the Group's consolidated financial statements.

(b) SLFRS 9 Financial Instruments

The Sri Lanka Accounting Standard – SLFRS 9 on "Financial Instruments", which replaces the existing guidance on LKAS 39 on "Financial Instruments: Recognition and Measurement" has become effective for annual reporting periods beginning on or after 01 January 2018.

SLFRS 9 replaces the "Incurred Loss Model" in LKAS 39 with forward looking "Expected Credit Loss Model ("ECL") which requires considerable judgement over how changes in economic factors affect ECL, in turn is to be determined on a probability weighted basis. SLFRS 9 also contains a new classification and measurement approach for financial assets that reflect the business model in which assets are managed based on their cash flow characteristics.

Based on the "Statement of Alternative Treatment (SoAT) on the Figures in the Interim Financial Statements" issued by The Institute of Chartered Accountants of Sri Lanka entities are granted with the option to prepare Interim Financial Statements continuing the application of LKAS 39 with disclosures on impact to the Income Statement and Statement of Profit or Loss and Other Comprehensive Income for the period if SLFRS 9 has been applied. Accordingly, as permitted by the above SoAT, the Group has prepared the Interim Financial Statements for the quarter ended 30th June 2018 based on LKAS 39.

Impact on Statement of Comprehensive Income and Net Assets

Based on the assessments undertaken to date which is yet to be audited, the total estimated additional loan loss provision as at 31 March 2018 on adoption of SLFRS 9 is expected to 15%-20% compared to the total impairment provision determined as per LKAS 39. The impact of the new classification for financial assets is not expected to be material.

Accordingly, the increase in impairment provision based on ECL model under SLFRS 9, had it been effective as at 31st March, 2018, would have reduced the Group's net assets by approximately 1% to 2% . The Group is in the process of validating the impact of migration to SLFRS 9

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2018

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9 Market prices of ordinary shares recorded during the quarter ended 30th June 2018 are as follows;

	Rs.
Closing price	98.50
Highest Price	138.00
Lowest Price	96.00

10 Information on Company's listed debentures

10.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 29th June 2018

	Buying	Selling
4 Year Bond		
Price	98.67	98.98
Yield	10.23%	10.11%
5 Year Bond		
Price	97.30	97.63
Yield	10.41%	10.32%

10.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price	99.97	100.99
Yield	8.71%	9.76%

	Current Period
Yield to maturity of trade done on (26/06/2018)	10.36

Debt to equity	1.12	times
Interest cover	0.91	times
Quick asset ratio	2.00	times

10.3 The market prices during the period (ex interest)	**Current Period**
Highest price	91.06
Lowest price	84.32
Last traded price	88.17

11 Backed to backed deposits details	As at 30 June 2018
	Rs. '000
Back to back deposits on foreign funding	22,942,136
Interest income earned on back to back deposits	175,787

12 Group Portfolio information	As at 30 June 2018
	Rs. '000
Gross portfolio	572,171,772
Non-performing portfolio > 6 months	13,570,468
Allowance for non-performing portfolio	(12,971,597)

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 30 June 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	1,529,099	-	-	**1,529,099**	**1,529,099**	Level 1
Investment securities	-	-	18,675	62,984,455	**63,003,130**	**63,003,130**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating	-	-	-	58,382,945	**58,382,945**	**57,775,762**	Level 3
Advances and other loans	-	-	-	501,158,519	**501,158,519**	**497,916,024**	Level 3
Total financial assets	**-**	**1,529,099**	**18,675**	**622,525,919**	**624,073,694**	**620,224,015**	
Trading liabilities - fair value through profit or loss	724,194	-	-	-	**724,194**	**724,194**	Level 1
Deposits liabilities	-	-	-	324,082,480	**324,082,480**	**326,026,975**	Level 3
Interest bearing borrowings	-	-	-	323,287,459	**323,287,459**	**325,227,184**	Level 3
Total financial liabilities	**724,194**	**-**	**-**	**647,369,939**	**648,094,132**	**651,978,352**	

As at 31st March 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,168,463	-	-	**3,168,463**	**3,168,463**	Level 1
Investment securities	-	-	12,434,835	67,716,945	**80,151,780**	**80,151,780**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating	-	-	-	56,724,874	**56,724,874**	**56,134,935**	Level 3
Advances and other loans	-	-	-	493,251,097	**493,251,097**	**492,931,964**	Level 3
Total financial assets	**-**	**3,168,463**	**12,434,835**	**617,692,916**	**633,296,214**	**632,387,142**	
Trading liabilities - fair value through profit or loss	754,089	-	-	-	**754,089**	**754,089**	Level 1
Deposits liabilities	-	-	-	307,528,599	**307,528,599**	**309,373,771**	Level 3
Interest bearing borrowings	-	-	-	332,154,647	**332,154,647**	**334,147,575**	Level 3
Total financial liabilities	**754,089**	**-**	**-**	**639,683,246**	**640,437,335**	**644,275,434**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC
Operating Segments

For the three month period ended 30 June 2018	Financial services	Long-term & general insurance	Manufacturing & trading	Leisure & entertainment	Plantation & renewable energy	Equity accounted investees	Others & eliminations	Total
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Gross income	33,809,333	1,668,720	4,741,744	330,122	633,692	-	(3,093,590)	**38,090,021**
Finance costs	(15,373,398)	(2,671)	(628,542)	(502,696)	(149,868)	-	786,523	**(15,870,652)**
Cost of sales	-	-	(3,187,998)	(81,841)	(129,187)	-	(3,257)	**(3,402,283)**
Profit before operating expenses	**18,435,935**	**1,666,049**	**925,204**	**(254,415)**	**354,637**	**-**	**(2,310,324)**	**18,817,086**
Operating expenses	(11,610,210)	(1,563,276)	(1,164,306)	(316,184)	(410,926)	-	2,047,802	**(13,017,100)**
Results from operating activities	**6,825,725**	**102,773**	**(239,102)**	**(570,599)**	**(56,289)**	**-**	**(262,522)**	**5,799,986**
Share of profits of equity accounted investees	-	-	-	-	-	292,035	-	**292,035**
Profit before taxation	**6,825,725**	**102,773**	**(239,102)**	**(570,599)**	**(56,289)**	**292,035**	**(262,522)**	**6,092,021**
For the three month period ended 30 June 2017								
Gross income	29,515,357	1,524,928	3,843,737	523,136	943,846	-	(2,580,151)	33,770,853
Finance costs	(13,551,318)	-	(331,419)	(358,687)	(141,139)	-	720,552	(13,662,011)
Cost of sales	-	-	(2,578,531)	(209,181)	(172,852)	-	6,219	(2,954,345)
Profit before operating expenses	**15,964,039**	**1,524,928**	**933,787**	**(44,732)**	**629,855**	**-**	**(1,853,380)**	**17,154,497**
Operating expenses	(10,297,929)	(1,507,264)	(923,451)	(324,209)	(539,068)	-	2,348,890	(11,243,031)
Results from operating activities	**5,666,110**	**17,664**	**10,336**	**(368,941)**	**90,787**	**-**	**495,510**	**5,911,466**
Share of profits of equity accounted investees	-	-	-	-	-	577,292	-	577,292
Profit before taxation	**5,666,110**	**17,664**	**10,336**	**(368,941)**	**90,787**	**577,292**	**495,510**	**6,488,758**

For the three month period ended 30 June 2018	Financial services	Long-term & general insurance	Manufacturing & trading	Leisure & entertainment	Plantation & renewable energy	Equity accounted investees	Others & eliminations	Total
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Net impairment (loss) / reversal on financial assets	1,722,767	-	2,543	-	-	-	236	**1,725,546**
Depreciation and amortization	365,010	14,418	99,416	60,671	71,800	-	(14,699)	**596,616**
Total assets (as at 30 June 2018)	816,604,876	11,915,268	73,125,995	51,567,377	10,257,049	-	(131,201,757)	**832,268,808**
Total liabilities (as at 30 June 2018)	671,093,074	7,884,194	34,909,647	24,720,054	6,879,853	-	(36,552,580)	**708,934,242**
For the three month period ended 30 June 2017								
Net impairment (loss) / reversal on financial assets	1,422,412	-	-	-	-	-	-	**1,422,412**
Depreciation and amortization	320,102	10,941	68,402	64,799	62,716	-	1,497	**528,457**
Total assets (as at 30 June 2017)	662,537,026	9,677,297	44,321,724	37,451,337	9,496,331	-	(73,203,307)	**690,280,408**
Total liabilities (as at 30 June 2017)	559,679,680	6,506,232	23,002,414	15,549,207	6,199,211	-	(27,791,597)	**583,145,147**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 30 June 2018

Directors Name	No of shares	%
Mr. I C Nanayakkara		
Held shares in the following manner		
Mr. I C Nanayakkara	91,613,792	19.279
Sampath Bank/ I C Nanayakkara	61,774,000	13.000
Commercial Bank/ I C Nanayakkara	79,000,000	16.625
Mr. W D K Jayawardena	-	-
Group Managing Director / CEO		
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Dr. R A Fernando	12,600	0.003

Top 20 shareholders as at 30 June 2018

	Shareholder	No. of Shares	% of Issued Capital
1	LOLC Holdings (Private) Limited	142,458,490	29.979
2	Mr. I C Nanayakkara	91,613,792	19.279
3	Commercial Bank of Ceylon PLC/ I C Nanayakkara	79,000,000	16.625
4	Sampath Bank PLC/ Ishara Chinthaka Nanayakkara	61,774,000	13.000
5	Mrs. K U Amarasinghe	23,760,000	5.000
6	Employees Provident Fund	15,182,259	3.195
7	HSBC Intl Nom Ltd - BBH - Matthews International Funds	12,121,473	2.551
8	Renaissance Capital (Private) Limited	8,671,625	1.825
9	HSBC Intl Nom Ltd - BBH - Matthews International Funds	7,511,241	1.581
10	Creation Investments SL 1 LLC	3,811,644	0.802
11	Mrs. I Nanayakkara	2,827,948	0.595
12	Mr. R C De Silva	1,710,000	0.360
13	J B Cocoshell (Pvt) Ltd	1,515,054	0.319
14	Swastika Mills LTD	985,703	0.207
15	Mrs. S N Fernando	818,440	0.172
16	Dr. M Ponnambalam	772,616	0.163
17	Mr. G G Ponnambalam	766,818	0.161
18	Capital Trust Holdings Ltd	676,623	0.142
19	Mr. R Maheswaran	500,000	0.105
20	Miss. A Radhakrishnan	500,000	0.105
21	Miss. M P Radhakrishnan	500,000	0.105
		457,477,726	**96.271**

	30th June 2018
The float adjusted market capitalization	7,542,450,153
Public Shareholding	16.11%
No. of Public shareholders	2,837
Complience Level	Complied under Option 02